

Tharisa (LSE: THS) — paying for a South African mine, getting a Zimbabwean lottery ticket priced at zero

Position disclosed: we are buyers around 116p (roughly 0.35% of our book — deliberately small, adds blocked until a specific condition clears, below). Written 6 August 2026. Not investment advice; every number is sourced — verify them.

What we believe

At ~118p (\$444M), the market values Tharisa's Zimbabwe project (Karo, 70%-owned, part-built, ~\$300M still needed) at roughly nothing — while the funded South African business alone plausibly covers the whole price. The SA operation co-produces platinum-group metals and chrome from one Bushveld open pit, is annualising ~\$209M EBITDA after its metals basket averaged 85% higher year-on-year, has its underground extension financed (\$179M facility), just had reserves reassessed from 74.5Mt to 109.8Mt (killing the “8 years left” fear), and its chrome price has risen five consecutive quarters. Cleaned of a one-off royalty credit, the trailing multiple is ~7.4x operating profit at ~0.55x book. We are paid to hold the floor; Karo is a free option we deliberately value at zero.

What the market believes

Zimbabwe eats the terminal value, and the metal rally is over. Much of this is *true and quantifiable*: miners there must surrender 30% of export dollars for local currency the state has lately not been paying (unpaid balances hit ~US\$228M industry-wide by June; one peer shelved a \$400M expansion over it); Tharisa's own small Zimbabwean chrome asset has been idled ~3 years by an export ban; the country just abolished its 2028 elections. Meanwhile the PGM basket has fallen ~21% from its peak over two quarters, ~46% of basket value is rhodium+iridium (thin, unhedgeable dealer markets), and a 62% family bloc controls the register with ~\$300k/day of London liquidity as your exit.

Why we might have an edge

Two decompositions nobody covering this (which is almost nobody — ~2 analysts) has published. First, **floor vs option**: the deferral branch of the Karo fork *preserves* value — commitments were already halved to ~\$28M, and walking away costs shareholders nothing the price hasn't charged. The bear case treats both branches as value-destroying; the documents don't support that. Second, **Karo isn't a mini-Tharisa**: its ore mix is heavily palladium-weighted (the weakest metal in the complex) — a *bearish* fact we found in the company's own disclosures that mainstream bulls miss, and which paradoxically supports our approach of valuing Karo at zero rather than half-built cost.

Why it might already be priced in (the honest counter)

The discount may be exactly correct: an unhedgeable minor-metals book, a controlling family, a jurisdiction that has already idled one of the company's assets, and a falling metal tape can deserve

0.55x book indefinitely. The stock sat flat through a +472% earnings print — the market demanding proof cash reaches shareholders is a rational stance. That’s why we sized at a third of a percent and blocked adds behind a metal-price gate.

What we checked ourselves (not just read)

Claim	How we checked	What we found	Verdict
“A Karo write-down is imminent” (short thesis)	Read the impairment-test note in the interim accounts	The test valued Karo assuming \$1,802/oz and passed while actual prices were \$1,615 ; today’s ~\$2,412 is 34% <i>above</i> the tested level	Refuted
“Committed capex death-march”	Commitments note in the same accounts	Karo commitments halved to \$27.7M; company states funding “through cash generated from operations”	Refuted as committed; real as ambition
“Zimbabwe already burned them once”	FY22–FY25 annual reports on Salene Chrome	True — but impaired back in FY2022; residual carrying value ~\$2.3M (0.2% of assets). Historic loss, not a pending one	Confirmed but already in the book value
The metals math	Rebuilt the basket from the company’s published ore mix (Pt 52.9 / Ru 16.0 / Pd 15.9 / Rh 10.5 / Ir 4.5) against 6-Aug dealer prices	~\$2,548–2,562/oz — matching the bearish estimate we were testing; the basket IS in a two-quarter downtrend	Confirmed (we adopted the bear’s number)
“Fiscal terms agreed with Zimbabwe, May 2026” (company narrative)	Searched the complete SENS/RNS announcement index	No standalone announcement exists ; royalty rate never published; the CFO called dollar-repatriation rights “absolutely key” — and they are not agreed	Refuted — the funding package is not close-able as described
The repatriation risk is real money	Reserve Bank of Zimbabwe policy statements + industry reporting	30% surrender maintained; ~US\$228M industry-wide unpaid; a peer’s \$400M expansion shelved	Confirmed — the strongest bear point, and we sized for it
“SA will tax chrome exports 25%” (widely repeated)	Government Gazette notices 6712 & 7139 + the trade regulator’s register	A permit consultation exists; the 25% tax was never gazetted — it traces to a leaked draft	Refuted
Karo’s ore mix	Company feasibility disclosures	Pd-heavy (38.3%) vs the parent mine’s 15.9% — Karo’s economics are worse than the group basket implies	Confirmed (new point, cuts bearish)

What would make us sell (specific, dated)

- The company issues **its own shares** to fund Karo → exit, full stop.
- The achieved basket prints **below \$2,400/oz for two consecutive quarters** (first reading: the mid-October production report) → exit. Until that reading we are not adding.
- A Karo financing **without** an explicit, enforceable dollar-repatriation right → worse than deferral; no adds.

- Underground first ore slipping past this fiscal year, or net cash going negative.

Rough numbers

Bear ~85p (metal keeps falling, Karo force-funded) · Base ~150p (SA floor + clean deferral, 5x mid-cycle) · Bull ~230p (metal re-rallies; Karo financed by a partner with dollar rights). Probability-weighted ~150p against 118p, with the edge concentrated in the deferral branch.

Sources: Tharisa FY25 annual results, H1-FY26 interims (impairment + commitments notes), Q3 FY26 production report (13-Jul-2026), company prill-split disclosures; SENS/RNS index; RBZ monetary policy statement (Feb-2026) and June-2026 industry reporting; SA Government Gazette 6712/7139 + ITAC register; Umicore/Kitco prices 6-Aug-2026.